

BFS Synthetic Bank

Banking Operations, KYC & Transaction Monitoring Policy — Version 3.0

Effective date: 1 September 2026 | **Next review:** 1 March 2027

Important notice: Fictional policy for RAG assignment testing. It is not a real institution's policy and does not constitute regulatory advice.

Customer Identification and Onboarding

- Customer onboarding requires identity and address verification using approved procedures and applicable documentation.
- Customer information should be reviewed and updated when required by verification and monitoring processes.
- Higher-risk cases may require enhanced due diligence and additional documentation.

Account Operations

- Transactions must be processed through approved banking channels.
- Controlled operational activities should follow segregation-of-duties requirements.
- Material account changes may require additional authentication or verification.

Transaction Monitoring

- Transaction-monitoring processes are designed to identify unusual patterns for further review.
- A transaction flagged for review may require additional information before processing is completed.
- Monitoring alerts should be documented and escalated according to internal procedures.

Customer Complaints

- Customer complaints should be recorded with a reference number.
- Complaints should be routed to the responsible service or operations team.
- Escalated complaints should be tracked until resolution or formal closure.